



Income Statement

Looking at income over a period of time

3 types of profit

- gross
- operating
- net

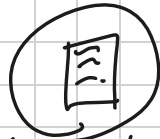
net profit margin

most important
for opportunity

balance sheet



=



Liability

owe others

+



equity

your money

Current vs non

to be turned
to cash
within year

Land
house
Buildings

Statement of retained earnings

- ① Shows your net profit after tax
- ② then add in the balance sheet

if company make money

- give money as dividend
- can reinvest

time - 12:41
date - 9/11

Depreciation

- the measured used to ex Vehicle
- Show ~~Lossing~~ value

Balance Sheet to find depreciation

Fixed Assets

- Truck Historical cost 100
- Accumulative Depreciation 20
- net value 80

buying fixed
is an investment
and the depreciation
is the busi:
expense

Cost of goods sold

cost for producing good + Labour

Beginning inventory

+ purchase

= COG AFS

- Ending inventories

= COGS

example

time 27:32
date 9/11

cost prices
given include
labour

OKa for retail sales

Can find in
casebook

Revenue

net sales

\$2,125

Begin inventory

\$393

+ purchases

\$1664

- ending inventory

\$475

= COGS

\$1,582

gross profit

\$543

Operating

\$160

Admin

\$143

total OP

\$303

net before tax
with tax

\$240
60

total

1,80

Land **fixed asset**

Prepaid exp **Current asset**

Accrued exp **Current liability**

Notes payable **Current liability**

Long term debt **longterm liability**

Accumulated depreciation **fixed asset**

monetary Securities **current asset**

Accounts receivable **Current asset**

Common Stock **equity**

goodwill **equity**

Building & equip **fixed Asset**

retaining earnings **equity**

Taxes payable **Current liability**

Cash **Current asset**

Inventory **current asset**

Accounts payable **Current liability**

do these assets,

Answers 37:41

9/11

goodwill

When you buy a company the book value is essentially the equity value.

When you buy a company you get the asset but you also get their liabilities.

$\therefore$ When you pay more than the equity value a goodwill is created.

★ figure out how to find in case books

Current asset

- resources you own that will be converted to cash within a year

Examples

- Cash
- inventory
- Short term investments

Current liability

- debts to pay off within a year

Examples

- Credit cards
- Short term Loans
- accounts payable

Equity

- residual net value owed by shareholders/owners

Examples

- Common stocks
- retained earnings
- owners capital

$$\text{Asset} = \text{liability} + \text{equity}$$

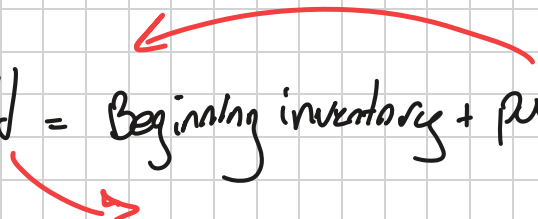
OKAFOR RETAIL SALES INC.
(in 000s of dollars)

Gross income (profit)	\$543
Net income before tax	240
Selling expenses	160
Ending inventory	475
Net sales	2,125
Beginning inventory	393
General and administrative expenses	143

a) cost of goods sold

$$\begin{aligned}\text{gross profit} &= \text{net sales} - \text{Cost of good sold} \\ &= \$2,125 - \$543 \\ &= \$1,582\end{aligned}$$

b) purchases

$$\text{cost of goods sold} = \text{Beginning inventory} + \text{purchases} - \text{Ending inventory}$$


$$\begin{aligned}\text{Purchases} &= \$1,582 + \$475 - \$393 \\ &= \$1,664\end{aligned}$$

c) net income after tax

$$\begin{aligned}\text{Net income after tax} &= \text{net income before tax} - \text{income tax expense} \\ &= \$240 - (\$240 \times 0.25) \\ &= \$180\end{aligned}$$

Making a balance Sheet

$$\text{Asset} = \text{Liability} + \text{equity}$$

Assets	Amount	Liabilities & Equity	Amount
Current Assets:		Current Liabilities:	
Cash PDF	\$4,400	Accounts payable PDF	\$73,700
Marketable securities PDF	\$18,000	Notes payable (90 days) PDF	\$34,800
Accounts receivable PDF	\$60,000	Accrued expenses payable PDF	\$10,500
Inventory PDF	\$182,000	Taxes payable PDF	\$5,200
Prepaid expenses PDF	\$12,800	Total Current Liabilities	\$124,200
Total Current Assets	\$277,200		
		Long-Term Liabilities:	
Fixed Assets:		Long-term debt PDF	\$54,000
Land PDF	\$19,500	Total Liabilities	\$178,200
Building & equipment PDF	\$119,000		
Less: Accumulated depreciation PDF	(\$57,200)	Stockholders' Equity:	
Net Fixed Assets	\$81,300	Common stock PDF	\$51,300
		Retained earnings PDF	\$131,500
Intangible Assets:		Total Stockholders' Equity	\$182,800
Goodwill (net) PDF	\$2,500		
Total Assets	\$361,000	Total Liabilities & Equity	\$361,000

both sides are balanced
at \$ 361,000

